

China Resources Beer (0291.HK)

Quartr-Enhanced Investment Analysis

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GICS: Brewers | Market Cap: CNY ~108B / USD ~10.3B

Ticker: 0291.HK | Country: Hong Kong

1. Business History

The corporate entity that is today China Resources Beer (Holdings) Company Limited traces its origins to 1992, when China Resources Group invested in Winland Investment Limited, a Hong Kong-listed shell, and renamed it China Resources Enterprise (CRE). This made CRE one of the earliest mainland Chinese enterprises listed on the Hong Kong Stock Exchange (stock code 0291). The vehicle was conceived as a diversified platform for consumer businesses in food, retail, beverage, and property -- beer was merely one spoke in a large conglomerate wheel. The decisive step came in 1993, when CRE partnered with the Shenyang Municipal Government to acquire a 55% stake in Shenyang Snow Brewery, establishing Shenyang China Resources Snow Brewery Co., Ltd. and launching the Snow (Xuehua) brand. This date -- 1993 -- is the one the company itself treats as its founding, as underscored by its 30th anniversary celebrations in 2024. In November 1994, CRE invited South African Breweries (later SABMiller) into the joint venture with a 49% stake, creating CR Snow. SABMiller supplied world-class brewing technology, quality control processes, and distribution expertise; China Resources contributed state-owned capital, political access, and knowledge of local markets. The partnership proved formidable. Through the late 1990s and 2000s, CR Snow executed one of the most aggressive acquisition campaigns in Chinese industrial history, absorbing regional breweries across the northeast, then crossing the Yangtze in 2004 with a joint venture in Zhejiang. By 2002, CR Snow had reorganized its 26 factories into seven regional companies. By 2006, the brewery count exceeded 50. By 2010, Snow had become the world's best-selling beer brand by volume -- over 9.3 billion litres sold in China alone -- surpassing Bud

Light globally, despite virtually no presence outside China. The model was straightforward: acquire local brands, convert their breweries to Snow production, undercut rivals on price, and flood tier-two and tier-three cities with an affordable, light lager positioned for everyday consumption. This volume-maximization strategy created a market share of roughly 21% but left the company with profound structural problems: overcapacity across 90-plus breweries, a bloated and aging workforce, thin margins, and negligible presence in the premium segment where margins were richest. Two external shocks forced a reckoning. First, Chinese beer volumes peaked around 2013-2014 and began a secular decline as demographics shifted and consumer tastes evolved toward quality over quantity. Second, AB InBev's 2016 mega-merger with SABMiller required the divestiture of SABMiller's 49% stake in CR Snow to satisfy antitrust conditions. China Resources Beer acquired it for US\$1.6 billion, funding the deal partly through a HK\$9.5 billion rights issue. CR Snow became a wholly owned subsidiary for the first time.

The SABMiller buyout coincided with an inflection point engineered by Hou Xiaohai, who had joined the company in 2001 and was elevated to general manager in 2016, then to chairman in 2023. Hou articulated the company's challenges as the "Three Mountains" -- operational inefficiency, weak premium positioning, and workforce cost -- and launched a "3+3+3" nine-year transformation strategy beginning in 2017. The first three-year phase (2017-2019) focused on capacity rationalization and brand architecture. Thirteen breweries were shuttered in 2018 alone, with a long-term target to reduce the total from over 80 to approximately 60. Simultaneously, Hou greenlit three national premium products -- SuperX (Yongchuang Tianya superX), Marris Green, and Craftsmanship (Jiangyi) -- which outperformed expectations and anchored the premiumization thesis.

Separately, in September 2015, CRE had undergone a structural transformation, disposing of all non-beer businesses (retail, food, beverage) to China Resources Holdings and renaming itself China Resources Beer (Holdings) Company Limited in October 2015. The conglomerate shell became a pure-play beer company for the first time in its history.

The second major strategic partnership arrived in 2018, when Heineken signed a US\$3.1 billion deal granting it a 40% stake in CR Beer's controlling holding company (translating to an approximately 20.67% economic interest in the listed entity), while CR Enterprise reciprocally acquired a 0.9% stake in Heineken for EUR 464 million. The transaction completed on April 29, 2019. Heineken contributed its entire China beer business and licensed the Heineken brand to CR Beer on a long-term basis.

Where SABMiller had provided manufacturing know-how in the 1990s, Heineken delivered premium brand-building capability and an international portfolio (Heineken, Amstel, Tiger, Sol) that CR Beer's route-to-market network could distribute nationally. Heineken sales volume in China more than doubled by 2024.

The premiumization strategy proved financially transformative. Between FY2018 and FY2023, revenue grew from CNY 31.9 billion to CNY 38.9 billion, while net income surged more than fivefold from CNY 985 million to CNY 5.2 billion -- a margin expansion story driven entirely by mix shift and cost discipline rather than volume growth.

The most recent strategic pivot came in late 2022, when CR Beer agreed to acquire a 55.19% stake in Guizhou Jinsha Jiaojiu Winery, a Guizhou-based baijiu (Chinese spirits) producer, for RMB 12.3 billion. The deal closed in January 2023 and marked the company's entry into baijiu under a "beer + baijiu" dual-empowerment model. The organizational structure was split into two business units: China

Resources Snow (beer) and China Resources Wine (baijiu). However, the baijiu foray has encountered headwinds -- the broader baijiu market downturn led to a CNY 2.9 billion goodwill impairment on the Jinsha business in FY2025, dragging group net income down to CNY 3.2 billion. Throughout these transformations, certain elements of cultural DNA have persisted. The company remains a subsidiary of China Resources Holdings, a state-owned conglomerate ranked 67th on the Fortune Global 500. This parentage provides access to cheap capital, political relationships, and a patient ownership horizon that tolerates multi-year restructuring programs private-market investors might not endure. The acquisition-led growth model -- from absorbing Shenyang breweries in 1993, to buying out SABMiller in 2016, to partnering with Heineken in 2019, to entering baijiu via Jinsha in 2023 -- reflects a consistent strategic instinct to consolidate industries through capital deployment and then optimize operations post-integration. What has changed is the objective: the company that once pursued volume at all costs now pursues value through premiumization, brand building, and category diversification.

2. Management & Incentives

China Resources Beer has undergone a striking leadership overhaul in the space of six months, and the governance implications deserve careful scrutiny. Between June and October 2025, the company lost its chairman, its president, and its CFO -- the entire top executive tier -- and replaced all three with internal appointees from the broader China Resources Group. Whether this represents orderly SOE rotation or a destabilising disruption is the central question for investors assessing management quality here.

The Hou Xiaohai Era and Its Legacy. The departing chairman, Hou Xiaohai, was the architect of CR Beer's modern identity. Appointed CEO in April 2016, he designed and executed the "3+3+3" strategic roadmap that transformed a bloated, low-margin volume brewer into a premiumisation-driven profit story. Under his tenure, annualised shareholder returns ran at roughly 33% through 2019, profit doubled, and beer gross margins climbed from the low-30s to above 42% by 2025. He launched the national premium brands SuperX, Marris Green, and Craftsmanship, negotiated the landmark Heineken strategic alliance in 2018, and oversaw a dramatic rationalisation of the brewery footprint -- closing dozens of inefficient plants. After being elevated to chairman in April 2023, he resigned in June 2025 to pursue "other personal engagements," denying market rumours of a move to Heineken. His departure is a genuine loss of institutional knowledge, though the premiumisation playbook he established is now deeply embedded in the organisation.

Current Leadership. The board named Zhao Chunwu as interim chairman in June 2025. Zhao, 54, is a CR Beer lifer who joined the Snow Breweries subsidiary in 2003 after stints at PepsiCo, Wrigley, and Nanjing Interbrew. He rose through regional general manager roles in Zhejiang, Fujian, Anhui, Jiangsu, and Shanghai before being named vice president in May 2022 and president in August 2023. He holds an MBA from Peking University. His deep operational and sales background makes him a credible steward of the core beer business, though he lacks Hou's public profile and strategic gravitas. In October 2025, the board appointed Jin Hanquan, 47, as executive director and president, relieving Zhao of the dual burden. Jin's background is notable -- and somewhat unusual for the role. He joined

CR Beer only in 2022 as Secretary of the Discipline Inspection Commission, having previously served as Deputy Senior Auditor and Director of Audit Professionals at China Resources Holdings from 2012 to 2020. His appointment signals that the parent SOE is prioritising internal governance and financial discipline, perhaps reflecting lessons from the Jinsha debacle. It is not the profile of a commercial operator. Also in October, Yang Hongxia, 47, was appointed CFO following Zhao Wei's resignation in September. She was previously CFO at China Resources Vanguard (the group's retail arm) and holds bachelor's and master's degrees in accounting from Xiamen University. She is a technically credible appointment within the CR system.

Ownership and Skin in the Game. This is the section's weakest point. CRH (Beer) Limited, the immediate holding company, controls 51.67% of CR Beer. Within CRH Beer, China Resources Enterprise holds 60% and Heineken holds 40%, giving Heineken an effective 20.67% economic interest in CR Beer. The remaining free float is held by institutional investors including BlackRock (5.4%), HSBC (4.2%), and Fidelity (3.6%). As is typical for Chinese SOE subsidiaries, executive directors hold negligible personal equity stakes. The company maintains a share option scheme, but there is no evidence of meaningful insider ownership by any current board member. Management incentives flow primarily through SOE-style compensation structures: fixed salary, annual cash bonuses tied to KPIs, and career advancement within the China Resources system. This creates alignment with operational targets but not with long-term shareholder value in the way that material equity ownership would. Heineken's board representation at the CRH Beer holding company level provides a commercially minded counterweight to pure SOE governance, and this is a structural positive that distinguishes CR Beer from many mainland peers.

Capital Allocation Track Record: A Mixed Verdict. The beer business track record is excellent. Management executed a textbook capital-light transition: capex peaked above RMB 6.5 billion, declined to RMB 3.5 billion, and fell below RMB 1 billion in 2025, while beer EBITDA margins expanded to 26.3%. Free cash flow generation has strengthened materially. The dividend payout ratio has risen from 20% to 53% over three years, and DPS grew 34% in FY2025 even as reported profit fell -- a clear signal that management is committed to returning cash. The net cash position of RMB 4.2 billion further underscores balance sheet conservatism. Against this, the RMB 12.3 billion acquisition of a 55% stake in Guizhou Jinsha baijiu distillery, completed in January 2023, has been a significant value destroyer. The deal generated RMB 7.4 billion of goodwill, of which RMB 2.8-3.0 billion was impaired in FY2025 as Jinsha's EBITDA collapsed 69% year-on-year to just RMB 264 million amid softened baijiu demand. This was a top-of-cycle acquisition in a category outside management's core competence, and the impairment represents a material misallocation of capital.

Board Composition and Independence. The board includes four independent non-executive directors: Houang Tai Ninh, Eric Li Ka Cheung, Lai Hin Wing Henry Stephen, and Bernard Charnwut Chan. This satisfies Hong Kong Listing Rules requirements. The company has received multiple awards for corporate governance and ESG practices, though governance awards are a lagging indicator at best. The more meaningful governance check is Heineken's structural role as a 40% partner in the holding company, which introduces a profit-motivated international operator into the oversight chain.

Succession Planning and Key-Person Risk. The rapid triple turnover at the top is the most significant governance risk. While the China Resources parent group has a deep bench of managerial

talent and a well-practiced system of executive rotation across its subsidiaries, the specific appointments raise questions. Jin Hanquan's audit and discipline background, while useful for governance, is not an obvious fit for leading commercial strategy at a consumer-facing business competing against Budweiser APAC for premium drinkers. The chairman position technically remains vacant, with Zhao Chunwu serving in an interim capacity. Investors should monitor whether a permanent chairman appointment brings in someone with stronger commercial or strategic credentials.

Does Management Do What It Says? On beer, emphatically yes. The premiumisation roadmap has been executed with discipline and consistency over nearly a decade, margins have expanded as promised, and the pivot from capex-heavy expansion to cash returns has been delivered ahead of expectations. On baijiu, no. The Jinsha acquisition was framed as a disciplined long-term bet, yet within two years required a multi-billion-yuan impairment. Management's credibility is high on the core beer business and low on diversification -- a distinction investors should weight heavily when evaluating any future M&A ambitions.

3. Competitive Landscape

China's beer industry is one of the most consolidated consumer staples markets in the world. The top five players -- CR Beer, Tsingtao Brewery, Budweiser Brewing APAC, Beijing Yanjing Brewery, and Carlsberg (via Chongqing Brewery) -- command approximately 92-93% of national volume, a concentration ratio that has increased steadily over two decades of acquisitions and capacity rationalisation. This oligopolistic structure is the single most important feature of the competitive environment: it limits price-destructive competition, raises barriers to entry for new entrants, and provides the incumbents with efficient scale advantages that smaller brewers cannot replicate.

Industry structure and the premiumisation pivot. Overall beer consumption in China peaked around 2013-2014 at roughly 50 billion litres and has been in secular decline since, driven by demographics (a shrinking working-age population), health consciousness, and competition from other beverage categories. Volume in 2025 was approximately 42 billion litres. The industry's response has been unanimous: premiumisation. High-end beer's share of the market has roughly doubled from 8% in 2019 to an estimated 17% by 2023 and continues to climb. This shift from volume to value has become the primary competitive battleground, and the players best positioned to capture it will define the next decade of the industry.

CR Beer's competitive position. CR Beer (Snow Beer) holds the number one position by volume with an estimated 23-31% national share, depending on the data source and measurement methodology. Its flagship Snow brand is the world's largest beer brand by volume. The company operates 62 breweries across 25 provinces, giving it unmatched geographic coverage. Its distribution network reaches more than 3 million retail and on-premise outlets -- a cold-chain and logistics infrastructure built over decades that represents perhaps its most durable competitive advantage. This distribution moat is not easily replicated; it took CR Beer itself years of aggressive M&A (acquiring over 70 local breweries between 2000 and 2015) to assemble it. The Heineken strategic alliance, formed in 2018, gave CR Beer the critical missing piece in its

portfolio: a globally recognised premium brand to push through its existing distribution pipes. The results have been striking. Heineken sales volume grew approximately 20% in FY2025, while Amstel surged over 100%. Premium and sub-premium segments now exceed 50% of CR Beer's total sales volume, up from roughly 30% just a few years ago. This premiumisation has driven beer business gross margins to 42.5% in FY2025, up from approximately 35% in 2018 -- a remarkable margin expansion achieved largely through product mix improvement rather than price increases on existing SKUs.

Key competitors. Budweiser Brewing APAC (1876.HK) is CR Beer's most formidable rival, particularly in the premium segment where it claims approximately 40% volume share through brands including Budweiser, Corona, Stella Artois, and Hoegaarden. Budweiser APAC's premium-first strategy and global brand portfolio give it strong positioning in on-trade channels (bars, restaurants, nightlife) in tier-1 and tier-2 cities. However, Budweiser APAC has faced headwinds in China recently, with strategic challenges reported in 2025 as consumer spending softened and competition intensified. Its narrower distribution footprint compared to CR Beer limits its ability to penetrate lower-tier cities where premiumisation is accelerating.

Tsingtao Brewery (0168.HK), with roughly 16% market share, competes across all price tiers and has strong regional dominance in Shandong and parts of northern China. It has been investing in premiumisation but lacks the international brand portfolio of either CR Beer (via Heineken) or Budweiser APAC. Carlsberg, operating through its majority-owned Chongqing Brewery subsidiary, holds approximately 6% national share and has focused on western China. Yanjing Beer, at roughly 8.5% share, remains largely a regional player concentrated in Beijing and northern provinces and has been the weakest of the Big Five in executing the premiumisation transition.

Sources of competitive advantage and durability. CR Beer's moat rests on three reinforcing pillars. First, its distribution scale creates cost advantages and market access that no competitor can match nationally. The logistics of delivering a low-value, heavy, perishable product across a country of China's geographic complexity favours the largest operator. Second, its dual brand architecture -- Snow for mass and sub-premium, Heineken/Amstel for premium and super-premium -- allows it to capture consumers across the entire price ladder, a structural advantage over Budweiser APAC (skewed premium) and Yanjing (skewed economy). Third, its state-owned enterprise parentage (China Resources Group) provides patient capital, political relationships that matter in a market where local government approvals affect brewery operations and distribution licences, and strategic credibility with partners.

These advantages are durable but not impregnable. The main erosion risk is competitive: Budweiser APAC's premium brand equity remains superior in aspirational consumer segments, and if CR Beer's Heineken integration stalls or consumer preferences shift toward Budweiser's portfolio, the premium margin expansion could plateau. Additionally, macroeconomic weakness in China -- evident in the soft consumer spending environment of 2024-2025 -- can temporarily reverse premiumisation as consumers trade down, pressuring the revenue-per-hectolitre gains that underpin the investment thesis.

Barriers to entry and disruptive threats. New entry at scale is effectively impossible. The capital requirements (62 breweries), regulatory complexity, and entrenched distributor relationships create insurmountable barriers for any challenger attempting national coverage. Craft beer, while growing

rapidly from a small base (an estimated RMB 35-45 billion market), remains confined to urban centres and is structurally limited by distribution economics and the incumbents' ability to co-opt the trend through their own craft-style offerings.

The more meaningful adjacent threat comes from category substitution. Baijiu, though in decline, remains deeply embedded in Chinese drinking culture, particularly in business entertaining and formal occasions. Low- and no-alcohol beer, growing at triple-digit rates from a negligible base, represents a longer-term substitution risk to traditional beer volumes but one that the major brewers are well positioned to address through line extensions.

Market share trajectory. The competitive dynamic is increasingly zero-sum on volume but positive-sum on value. CR Beer's 1.4% volume growth in FY2025 outperformed the industry, suggesting continued share gains. The company's ability to grow EBITDA 17% in its beer business while revenue was essentially flat demonstrates that premiumisation-driven margin expansion, rather than volume conquest, is the primary value creation mechanism. As long as the top five maintain pricing discipline -- which the oligopolistic structure incentivises -- CR Beer's combination of volume leadership and accelerating premiumisation positions it as the strongest competitive hand in China's beer industry.

4. Financial Characteristics

China Resources Beer generates virtually all of its revenue from mainland China, making it a single-country, single-category business with a secondary spirits exposure following the 2023 Jinsha baijiu acquisition. In FY2025, beer accounted for CNY36,489M of the CNY37,985M consolidated top line (96%), with baijiu contributing just CNY1,496M (4%). The beer business is itself concentrated in mass and mid-market segments historically, though premium and above-premium brands now represent over 50% of beer volume -- the critical structural shift underpinning the margin story.

Revenue trajectory and growth model. Consolidated revenue grew from CNY31,867M in FY2018 to a peak of CNY38,932M in FY2023, a 22% cumulative increase over five years -- a compound rate of roughly 4% per annum. Growth has since stalled: FY2024 was flat at CNY38,635M, and FY2025 declined modestly to CNY37,985M as the baijiu segment contracted 30% (turnover falling from CNY2,135M implied in FY2024 to CNY1,496M). The beer business itself was essentially flat in FY2025 at CNY36,489M. This is not a high-growth business in volume terms; the growth engine is premiumisation-driven price/mix improvement, not hectolitre expansion. That distinction matters enormously for margin analysis.

Gross margin: the defining feature. Gross margin has expanded almost without interruption from 35.1% in FY2018 to 43.1% in FY2025, an 800-basis-point improvement over seven years. The beer segment alone reached 42.5% gross margin in FY2025, up 1.4 percentage points year-on-year, with the H1 2025 result hitting a record 48.9%. This trajectory is remarkable for a beer business. By comparison, Budweiser APAC (1876.HK), which operates a more premium-skewed portfolio including Budweiser, Stella Artois, and Corona, reported a gross margin of approximately 51.5% in FY2024, while Tsingtao Brewery (0168.HK) sat at approximately 41.7%. CR Beer is converging toward Budweiser APAC's margin territory from a structurally lower starting point, which reflects genuine

operational improvement rather than portfolio inheritance. The gross margin expansion has come from three sources: premiumisation of the brand mix, input cost management (barley and packaging), and the closure or consolidation of sub-scale breweries inherited through the company's long acquisition history.

Operating profitability and EBITDA. Beer segment EBITDA (excluding special items) reached CNY9,611M in FY2025, up 17% year-on-year, with the EBITDA margin expanding 3.9 percentage points to 26.3%. This is a strong margin for a Chinese brewer and suggests meaningful operating leverage as premiumisation flows through to the bottom line. Consolidated EBITDA was lower at CNY7,733M due to baijiu drag and goodwill impairment charges. Reported net income fell sharply from CNY5,214M (FY2023) and CNY4,759M (FY2024) to CNY3,174M in FY2025, but this decline is almost entirely attributable to a CNY2,877M goodwill impairment on the Jinsha acquisition -- a non-cash item that distorts the underlying earnings trajectory. Excluding this, underlying beer profitability continued to improve.

Returns on capital. ROE was 15.3% in FY2024, falling to 10.5% in FY2025 on the impairment-depressed earnings. On an underlying basis, ROE would sit closer to 15-17%, consistent with the H1 2025 reported figure of 17.1%. This compares favourably to Budweiser APAC at approximately 9.9% and broadly in line with Tsingtao at 15.2%. The superior ROE relative to Budweiser APAC, despite lower gross margins, reflects CR Beer's leaner balance sheet and lower equity base relative to earnings. ROIC is harder to pin down precisely from disclosed data, but with net income (pre-impairment) of approximately CNY6,000M against invested capital of roughly CNY40,000M (total equity CNY35,964M plus net debt of negative CNY4,234M, adjusted for goodwill), the company earns a mid-teens return -- adequate but not exceptional given the goodwill burden from acquisitions.

Cash conversion and free cash flow. Operating cash flow has been robust and improving: CNY6,928M (FY2024, +67% recovery), and CNY7,127M (FY2025, +3%). The OCF-to-net-income ratio has consistently exceeded 1.0x, reaching approximately 1.5x in FY2024 and 2.2x in FY2025 (against reported, impairment-affected earnings). This is characteristic of a well-managed consumer staples business with negative working capital dynamics: CR Beer collects from distributors quickly while paying suppliers on extended terms, and the large unearned revenue balance reflects advance payments from distributors, effectively providing interest-free float.

Balance sheet and leverage. The balance sheet is conservatively managed. As of FY2025, the company held a net cash position of CNY4,234M (cash of CNY9,960M against long-term debt of CNY1,306M and short-term borrowings of CNY1,405M). Total equity of CNY35,964M against total assets of CNY68,633M implies a debt-to-equity ratio near zero. The main balance sheet risk is goodwill: CNY13,929M (down from CNY16,806M in FY2023 following impairment), representing 39% of equity. This is concentrated in the Jinsha baijiu acquisition, which has performed poorly, and further impairment risk remains if the baijiu downturn persists.

Capital intensity and capital allocation. Capex has declined from CNY2,758M (FY2023) and CNY2,813M (FY2024) to CNY1,836M (FY2025), equivalent to roughly 4.8% of revenue. With D&A of CNY2,426M, capex is now running below depreciation -- suggesting the business is in harvest mode rather than an expansion phase, consistent with the end of the brewery rationalisation programme. The dividend payout ratio has risen sharply from approximately 20% to 53% over recent years, with

dividends paid of CNY3,313M in FY2025 against reported earnings of CNY3,174M. This aggressive return of capital, combined with the net cash position, signals management confidence in the cash-generative nature of the beer franchise and limited need for reinvestment.

Cyclicality. Beer in China exhibits modest cyclicality tied to weather, consumer sentiment, and on-trade/off-trade channel mix. Revenue declined only 5% in the pandemic year of FY2020 (to CNY31,448M) and net income actually rose, suggesting pricing power and cost discipline can offset volume weakness. The business is structurally defensive, though the baijiu segment introduces a more cyclical and sentiment-driven element.

The distinctive feature of CR Beer's financial profile is the combination of a dominant volume position with a margin structure that is still mid-journey in its premiumisation arc. The 800-basis-point gross margin expansion since 2018 has further runway as premium volumes grow, while the capital-light, cash-generative operating model increasingly supports aggressive shareholder returns. The Jinsha acquisition is the clear blemish -- a capital allocation misstep that has destroyed value and introduced earnings noise -- but the core beer franchise exhibits textbook compounder characteristics: improving margins, high cash conversion, low reinvestment needs, and rising capital returns.

5. Red Flags

The Jinsha baijiu acquisition is the single most damaging capital allocation decision in the company's recent history, and it may not be finished inflicting pain. China Resources Beer paid RMB12.3 billion in January 2023 for 55.19% of Guizhou Jinsha Jiaojiu Winery, generating RMB7.4 billion in goodwill. Just two years later, that goodwill has been written down by RMB2.9 billion, and the remaining RMB4.5 billion of baijiu-related goodwill sits on the balance sheet supported by an EBITDA run-rate of only RMB264 million -- implying a residual carrying value north of 17x EBITDA for a business in freefall. Revenue collapsed 30% to RMB1,496 million in FY2025 while EBITDA cratered 69%. Management attributes this to "structural adjustments, declining demand, and increased inventory" across the baijiu industry, but the timing and scale of the acquisition suggest something worse: a state-owned parent directing a listed subsidiary to empire-build into an adjacent alcohol category at precisely the wrong moment in the cycle. The stock tumbled on the day the deal was announced. That the impairment arrived so quickly validates the market's original scepticism. Investors should question whether further write-downs are inevitable -- RMB4.5 billion of residual baijiu goodwill requires sustained recovery in a business that showed no signs of bottoming in FY2025. **The broader goodwill and intangibles position remains a balance sheet risk.** Total goodwill of RMB13.9 billion plus other intangible assets bring the combined figure to approximately RMB21.5 billion -- roughly 60% of total equity of RMB36.0 billion. The beer business carries its own legacy goodwill from years of roll-up acquisitions across China's fragmented brewery landscape. Impairment testing of these cash-generating units relies on management's revenue growth and discount rate assumptions, which are inherently subjective. Given that China's beer volumes have been structurally declining -- the industry has contracted from a peak of approximately 540 million hectolitres in 2013 to around 350 million today -- one must ask whether beer CGU goodwill assumptions have also become stale.

The pattern of one-off items is a recurring feature, not a one-off. In FY2025 alone, the income statement was shaped by RMB2,877 million in baijiu goodwill impairment, RMB1,005 million of income from the Shenzhen headquarters arrangement, RMB833 million in gains from the disposal of land to a joint venture, and RMB306 million in plant closure costs. Management conveniently strips out the impairment when presenting dividend payout ratios ("excluding goodwill impairment, payout rose from 52% to 53%") while presumably including the land disposal gain in the denominator. This asymmetric framing deserves scrutiny. Notably, the land disposal to Shenzhen Runxue has been generating gains for years -- RMB1,755 million was booked as far back as FY2021 -- raising questions about why a brewery company is repeatedly monetising real estate through a related-party joint venture with China Resources Land, a fellow subsidiary of the same SOE parent.

The Shenzhen Runxue transaction is a textbook related-party structure. The 50/50 joint venture was formed between CR Snow (a subsidiary of the listed company) and Shenzhen Runtou (a subsidiary of China Resources Holdings, the controlling SOE parent), with joint involvement from China Resources Land, another affiliate. CR Beer disposed of land parcels to this JV and is recognising gains progressively as milestones are met. Because the applicable percentage ratios fall between 0.1% and 5% under the Hong Kong Listing Rules, these connected transactions require disclosure and annual review but are exempt from independent shareholder approval. The structure is designed to sit just below the threshold that would trigger a shareholder vote. An outside investor cannot easily verify that the consideration for these land parcels was struck at arm's length, and the recurring nature of the gains -- appearing almost every year since 2021 -- suggests the company has become reliant on property monetisation to supplement operating earnings.

Governance is being tested by an unusual concentration of leadership departures. Chairman Hou Xiaohai resigned on 27 June 2025, citing personal reasons while denying rumours of a move to Heineken. CFO Zhao Wei resigned in September 2025 "due to other work arrangements."

Non-executive director Tang Liqing departed in March 2025 on reaching retirement age. Losing a chairman and a CFO in the same calendar year is disruptive for any company; for a Chinese SOE where senior appointments are typically directed by the parent or SASAC, it raises the question of whether these departures reflect disagreement over strategy -- particularly the baijiu misadventure -- or routine rotation through the Party apparatus. The chairman position was vacant for over two months before Zhao Chunwu was re-designated from President to Chairman, a period during which the company acknowledged non-compliance with Hong Kong's Corporate Governance Code provisions C.2.1 through C.2.9.

SOE control creates structural agency problems. China Resources (Holdings) is the controlling shareholder, and the board's independence is constrained by the reality that key decisions -- acquisitions, capital allocation, executive appointments -- are substantially influenced by the parent. The recently renewed Framework Loan Agreements (2026-2028) allow the listed company and its subsidiaries to lend cash to related entities within the CRH group. This is capital that could be returned to minority shareholders instead flowing to opaque intra-group financing arrangements. The current ratio of 0.82, while improving from 0.60, still indicates that current liabilities exceed current assets. The unearned revenue balance of RMB9.5 billion -- likely dealer deposits and advance payments for beer -- is large relative to quarterly revenue and could mask channel-stuffing if distributors are being

pressured to prepay.

The bear case is straightforward. Beer volumes continue their structural decline. Premiumisation stalls as consumer confidence weakens. The baijiu business, bought at the top, requires a further RMB2-3 billion impairment as industry destocking extends into 2027. The Shenzhen land gains run out, exposing underlying earnings weakness. A new chairman installed by the parent redirects capital into another diversification bet. Minority shareholders absorb the losses but have no mechanism to block connected transactions that fall below HKEX thresholds.

Questions for management: (1) What discount rate and terminal growth assumptions underpin the remaining RMB4.5 billion of baijiu goodwill, and at what revenue level does another impairment trigger? (2) What is the total gain yet to be recognised from the Shenzhen Runxue land arrangement, and when does it exhaust? (3) What is the breakdown of the RMB9.5 billion unearned revenue balance by age, and has the company changed dealer prepayment terms? (4) Why did the chairman and CFO both depart within three months, and was the baijiu strategy a factor? (5) Under the Framework Loan Agreements, what is the current outstanding amount lent to CRH-related entities?

6. Investment Checklist

1. Understandable Business - YES

China Resources Beer is China's largest brewer by volume (~26% market share) through its flagship Snow Beer brand, supplemented by a strategic alliance with Heineken for premium international brands. The core business model is straightforward: manufacture and distribute beer across China via a massive distribution network spanning every province. The company added a baijiu leg in 2023 through the Jinsha acquisition, adding complexity, but the beer business remains dominant at ~95% of revenue. Any competent generalist investor can model this business.

2. Durable Competitive Advantages - PARTIALLY

CR Beer possesses genuine structural advantages: the largest beer distribution network in China, #1 volume position with ~26% share, and the top five brewers collectively control 92% of the market. The Heineken alliance grants access to premium international brands without building them from scratch. Gross margins have expanded from 36.8% (2019) to 43.1% (2025). However, competitive advantages are primarily scale- and distribution-based rather than brand-driven. Snow Beer historically competed on price and availability rather than brand loyalty. The premiumisation strategy is widening the moat, but it is still a work in progress.

3. Long Reinvestment Runway at High Returns - PARTIALLY

The premiumisation runway remains substantial -- premium and super-premium beer represent a growing but still modest share of total volume, and brands like Heineken (+20% growth) and Amstel (+100% growth) demonstrate significant headroom. However, the overall Chinese beer market is in volume contraction. Reinvestment must focus on mix improvement rather than volume expansion. The

baijiu diversification was meant to open a new reinvestment avenue but has stumbled badly.

4. High Returns on Incremental Capital - PARTIALLY

The beer business demonstrates improving returns: gross margins rose ~630 basis points over six years, EBITDA margins in beer reached 26.3% for FY2025 (and a remarkable 35.1% in H1 2025). ROE was 15.3% in FY2024 and 17.1% in H1 2025. However, the incremental capital deployed into baijiu via the Jinsha acquisition has been value-destructive. Stripping out the baijiu drag, the core beer business generates attractive incremental returns. The blended picture is mixed.

5. Strong Free Cash Flow Generation - YES

Operating cash flow has grown consistently, reaching RMB7.1B in FY2025. The beer business is inherently cash-generative: negative working capital, moderate capex requirements, and improving margins all support strong conversion. The shift toward higher-margin premium products should further enhance cash conversion over time.

6. Conservative Balance Sheet - YES

CR Beer maintains a net cash position of approximately RMB4.2B, with total debt of RMB2.7B comfortably covered by cash of RMB6.9B. Current liabilities are elevated at RMB25.8B, but this is primarily driven by unearned revenue and trade payables rather than financial debt. Leverage is conservative by any standard.

7. Aligned Management with Skin in the Game - NO

As a subsidiary of state-owned China Resources Holdings (~52% ownership), management alignment follows SOE governance rather than entrepreneurial ownership. Insiders own under 1% of the company. Executives are appointed through the state enterprise system, and their incentives are tied to political and career considerations as much as shareholder value. The Heineken strategic alliance provides some commercial discipline, but this is not a founder-led or management-owned business.

8. Rational Capital Allocation History - PARTIALLY

The Heineken alliance in 2018 was shrewd. Dividend payout ratios have risen from ~20% to ~50%. Organic capex has been disciplined. On the negative side, the Jinsha acquisition looks increasingly like a capital allocation error -- EBITDA collapsed 69% and nearly RMB2.9B of goodwill has been impaired. This single decision materially undermines an otherwise sensible capital allocation record.

9. Favourable Industry Structure - YES

China's beer industry exhibits textbook oligopolistic structure: top five control 92%, volume is contracting (reducing incentive for price wars), and competition has shifted to premiumisation. CR Beer holds the #1 position. Barriers to entry are extremely high. This is a structurally attractive industry for the incumbent leader.

10. Reasonable Valuation - YES

At a trailing P/E of ~12x and EV/EBITDA of ~7.7x, CR Beer trades at a significant discount to Budweiser APAC (trailing P/E ~18-23x) and in line with Tsingtao (~12-13x). Given the #1 market position, expanding margins, net cash balance sheet, and improving capital returns, the current multiple embeds meaningful pessimism. Adjusting for the baijiu impairment, normalized P/E is closer to 15-16x on FY2025 beer earnings.

11. Resilience to Recession or Disruption - PARTIALLY

Beer is a consumer staple with defensive demand. Revenue declined only 5% in the pandemic year of FY2020. However, the premiumisation strategy is procyclical: consumers trade down in recessions. China's current macro environment is already pressuring premium consumption. The core beer franchise is resilient; the growth story is more vulnerable.

12. Transparent Management Communication - PARTIALLY

CR Beer provides biannual earnings releases with investor presentations. Segmental disclosure for beer and baijiu is helpful. However, SOE communication norms tend toward opacity. Forward guidance is limited. Quarterly reporting is not provided (only semi-annual). Communication is adequate but not best-in-class.

Overall Assessment

China Resources Beer is a high-quality dominant franchise in an attractive oligopolistic industry, trading at a reasonable valuation. The core beer business is executing well: gross margins expanded nearly 700 basis points, operating cash flow is strong, the balance sheet is conservative, and the competitive position is secure. The key risks are the Jinsha baijiu acquisition (clear capital allocation mistake), SOE governance (structurally misaligned incentives), and macro sensitivity of the premiumisation thesis. At ~12x trailing earnings with a net cash balance sheet, the valuation provides a reasonable margin of safety.

7. Learning Resources

Podcasts & Audio

1. **"Heineken CEO Talks 2025 Outlook"** -- Bloomberg Talks (Feb 2025). Heineken CEO Dolf van den Brink discusses beer volumes, share buybacks, and China outlook, directly relevant to the CR Beer/Heineken strategic alliance.
2. **China Paradigms Podcast** -- Daxue Consulting. Long-running series interviewing operators and entrepreneurs across Chinese consumer industries, providing ground-level context for the market CR Beer operates in.
3. **Bloomberg: The China Show** -- Bloomberg TV (daily). Regular coverage of Chinese equities and consumer sentiment; search the archive for CR Beer and beer sector segments.

YouTube & Video

1. **"Heineken CEO on Beer Volumes, Share Buybacks and China Outlook"** -- Bloomberg (Feb 2025). Full-length interview covering Heineken's premium strategy in China and the CR Beer partnership.
2. **"Heineken CEO on 2Q Earnings, One-Time Impairment, China"** -- Bloomberg (Jul 2024). Discusses Heineken's China impairment charges and market challenges.
3. **"We Taste & Rank China's 8 Biggest Beers"** -- 88 Bamboo. Accessible tasting overview of Snow Beer alongside Tsingtao, Harbin, Yanjing -- helpful for understanding brand positioning at the consumer level.

Books

1. **"The Party: The Secret World of China's Communist Rulers"** -- Richard McGregor. Essential for understanding how SOEs like China Resources Holdings function within the Party-state structure.
2. **"One Billion Customers: Lessons from the Front Lines of Doing Business in China"** -- James McGregor. Covers competitive dynamics, distribution complexity, and consumer behavior in Chinese consumer markets.
3. **"China's Great Wall of Debt"** -- Dinny McMahon. Critical macro context on SOE debt, investment-driven growth, and structural economic risks underlying China's consumer economy.
4. **"China's State-Owned Enterprises: Nature, Performance and Reform"** -- World Scientific. Academic treatment of SOE governance, efficiency, and policy advantages.

Long-Form Articles & Research

1. **"China Resources: From Snow Beer to Microchips"** -- Alvin Chow, Growth Dragons (Substack). Excellent deep-dive into the China Resources conglomerate.
2. **"Navigating Premiumization and Channel Expansion Amid Uncertainty"** -- Seeking Alpha (2025). Investment-focused analysis of CR Beer's premiumization strategy and valuation.
3. **"When Local Beat Global: The Chinese Beer Industry"** -- Loizos Heracleous, Business Strategy Review (2001). Foundational case study on why global brewers failed in China while local players consolidated.
4. **"China Resources Beer and the World's Largest Beer Brand, Snow -- The Facts"** -- Just Drinks. Comprehensive factual overview of Snow's market position and premiumization trajectory.
5. **"Budweiser's China Glass Drains as Consumers Have Less to Toast"** -- Bamboo Works. Competitive lens on Budweiser APAC's struggles.

Earnings Calls & Primary Sources

1. **Quartr** -- Primary hub for CR Beer earnings materials at web.quartr.com/companies/15869. Slides, earnings releases, and annual/interim reports going back to 1998.
2. **CR Beer Investor Relations** -- Official IR page with filings and announcements.
3. **HKEX Filings** -- Statutory filings including preliminary announcements.
4. **Morningstar Equity Research** -- Analyst coverage with fair value estimates and moat ratings.
5. **USDA FAS China Beer Market Reports** -- Free government research on China's beer market structure, import trends, and craft segment growth.

Suggested Learning Path

Start with the Growth Dragons deep-dive on China Resources to understand the parent conglomerate, then read the Just Drinks factual overview to ground yourself in Snow Beer's market position. For historical context on why CR Beer won and foreign brewers lost, read Heracleous's "When Local Beat Global." Next, move to the most recent annual report and results slides on Quartr to understand the current premiumisation strategy, Heineken integration, and baijiu segment performance. The Seeking

Alpha piece will give you an investor's valuation framework. To understand the competitive landscape, read Bamboo Works coverage of Budweiser APAC's struggles. Finally, for macro and governance context, pick up Richard McGregor's **The Party**.

8. Corporate Culture

China Resources Beer's culture is fundamentally shaped by two forces in tension: the discipline and political overlay of its state-owned parent, China Resources (Holdings), and the market-driven urgency of a premiumisation strategy that has demanded radical organisational change. Understanding which force dominates at any given moment is critical to assessing execution risk.

SOE Parent Imprint and Decision-Making. CR Beer operates within the governance architecture of one of China's largest state-owned enterprises. This imprint is visible in the company's formal planning cadence -- strategy is articulated in five-year plan terminology (the "15th Five-Year Plan" themes of "intelligentisation, greening, and integration"), and major capital decisions flow through layers of party-committee oversight and a "Big Supervision" system that integrates internal audit, anti-corruption enforcement, and compliance monitoring. The company conducts 100% legal review of major business decisions, and in FY2023 alone executed 18 audit programmes covering anti-corruption, fair competition, conflicts of interest, and internal transactions. This is not cosmetic: the MSCI ESG rating upgrade to A and multiple governance awards suggest the compliance apparatus functions as intended.

The investment implication is dual-edged. SOE governance provides a degree of institutional stability and ethical guardrails that many private Chinese consumer companies lack. But it also introduces bureaucratic friction. Strategic pivots must be negotiated through party structures, and leadership appointments ultimately reflect the parent's preferences, not a board optimising purely for shareholder value. The June 2025 departure of Chairman Hou Xiaohai illustrates this dynamic. Hou was the architect of CR Beer's transformational "3+3+3" strategy, under which revenue grew from RMB 28.7 billion to RMB 38.6 billion and net profit expanded from RMB 629 million to RMB 4.74 billion. His exit, officially for "personal engagements," left the chairmanship temporarily vacant. DBS analysts noted limited impact on strategy continuity, but the loss of a leader with two decades of institutional knowledge is non-trivial.

Talent, Restructuring, and the Human Cost of Transformation. The most striking cultural signal at CR Beer is the scale of its workforce restructuring. Headcount was cut from over 58,000 to approximately 25,000 as the company closed dozens of older breweries (from 98 down to 63, with four more closures in FY2025 alone) and replaced them with "intelligent" automated factories. To retain the talent that survived, the company implemented a 47% wage increase -- an aggressive bet that a smaller, better-compensated workforce would drive premiumisation more effectively than the legacy mass-production model.

This is culturally significant. The 2018 Corporate Culture Reshaping Project engaged over 26,000 employees under the philosophy "Every individual is remarkable, every bottle shines," integrating the new ethos into performance evaluations and leadership development. CR Beer's internal training programme won the Gold Award at the CSTD National Learning Design Competition, and the

company received "China Model Corporate University" certification. These are real investments in human capital, not just branding exercises.

Glassdoor data for the broader China Resources group shows a 3.3-3.6 rating out of 5, with employees citing a "good working environment" but flagging "low salary and it's not competitive" -- though this likely reflects the pre-restructuring legacy workforce more than the current, higher-paid cohort. The 51% recommendation rate is mediocre and suggests that SOE cultural baggage (hierarchy, limited autonomy, political study requirements) remains a drag on employer attractiveness relative to private-sector competitors.

Innovation Culture and the Heineken Influence. CR Beer's US\$3.1 billion strategic alliance with Heineken has been a meaningful cultural accelerant. The partnership gave CR Beer access to international brand management practices, premium marketing expertise, and a globally benchmarked approach to quality control. This cross-pollination has pushed CR Beer's internal culture toward greater consumer sophistication -- its brand teams now think in terms of positioning, consumer segmentation, and flavour heritage rather than simply volume. The company's digital transformation agenda reinforces this. Procurement, supply chain, and marketing are being digitised, and the new HQ at Shenzhen Snow Beer Science Innovation City (occupied December 2025) signals ambition to project an innovation-oriented identity. Two new intelligent factories in Jinan and Xiamen in 2024, plus carbon-neutral certifications and green plant designations, suggest genuine operational modernisation.

Red Flags and Cultural Risks. Three risks warrant monitoring. First, the leadership vacuum following Hou Xiaohai's departure. SOE succession is opaque, and a politically motivated appointment could slow the commercial momentum Hou built. Second, the sheer scale of workforce reduction (over 55% of headcount eliminated) may have eroded institutional knowledge and mid-level management depth. Third, the structural tension between SOE political obligations and the agility required to compete in a fast-evolving premium consumer market. CR Beer has managed this tension well under Hou's leadership, but it is a permanent feature of the organisational architecture, not a solved problem.

Assessment: CR Beer's culture is stronger than the typical Chinese SOE, meaningfully upgraded by the "3+3+3" transformation and the Heineken partnership. The combination of rigorous governance, genuine talent investment, and operational modernisation is credible. However, the post-Hou leadership transition and the inherent constraints of SOE governance represent ongoing cultural risks.

9. Earnings Call Deep Dive

Narrative Evolution: From Volume King to Margin Story, With a Baijiu Albatross

The management narrative at CR Beer has undergone a decisive pivot over the past three reporting periods. In FY2024, the story was triumphant convergence: premiumisation was delivering, operating cash flow surged 67%, and the company dramatically raised its dividend payout ratio from 20% to 52% -- a signal that management believed the beer business had reached a new level of cash-generative maturity. The baijiu acquisition (Jinsha) was still framed as a promising "second growth driver." By H1 2025, the tone had shifted to selective triumphalism: management highlighted a record gross profit margin of 48.9% and 23% profit growth, but the beer-centric framing became more pronounced, with baijiu increasingly relegated to boilerplate language about "long-term potential." The chairman's

resignation in June 2025 was disclosed without elaboration.

By FY2025, the narrative transformation was complete. The Chairman's statement opens not with results but with philosophy -- "navigating change and pursuing innovation with steady growth" -- a rhetorical construction designed to frame a year in which reported profit fell 29% as one of strategic positioning. The real story is bifurcation: beer EBITDA excluding special items hit a record RMB9.6 billion (up 17%), while the baijiu segment suffered a RMB2.877 billion goodwill impairment that management acknowledged was driven by "market capacity decline, intensified industry differentiation, increased inventory, [and] reduced consumer demand." The pivot phrase in the FY2025 release -- "the Company's performance was primarily driven by its beer business" -- is the most explicit admission yet that the baijiu diversification thesis has failed on its initial timeline.

Guidance and Delivery: Beer Exceeds, Baijiu Disappoints, Dividends Override

Management does not issue formal quantitative guidance, which is typical for Hong Kong-listed SOE-adjacent firms. Instead, guidance is embedded in strategic language and Five-Year Plan benchmarks. Over the 14th Five-Year Plan period (2020-2025), the beer business delivered cumulative turnover growth exceeding RMB5 billion and EBIT that more than doubled -- metrics management repeatedly foregrounds, suggesting these were internal targets that were met or exceeded. Sub-premium and above beer volume grew from 1.46 million kilolitres in 2020 to over 2.7 million kilolitres by 2025, a near-doubling that validates the premiumisation thesis. The baijiu business has severely underdelivered. Guizhou Jinsha's EBITDA collapsed from RMB807 million in FY2024 to RMB140 million in FY2025 -- an 83% decline that makes the goodwill write-down look overdue rather than conservative. Management's forward guidance for baijiu is notably hedged: the 15th Five-Year Plan language speaks of making baijiu "solid and strong" and "persisting in scale first" -- a clear downgrade from earlier aspirations.

On capital return, management has over-delivered. The 34% DPS increase despite a 29% EPS decline is a deliberate signal. This communicates that management views the impairment as non-recurring noise and wants investors to focus on underlying beer economics.

Language Signals: Confidence on Beer, Damage Control on Baijiu

The tonal divergence between the beer and baijiu sections is striking. Beer commentary deploys superlatives freely: "record highs," "significant increase," "outperformed peers," "led the industry." Baijiu language is saturated with hedging: "complex and volatile," "profound structural adjustments," "significant pressure," "cyclical adjustments." The forward-looking section for baijiu introduces "adhere to long-termism" -- implicitly acknowledging the medium-term outlook is poor.

Key Reveals

1. Jinsha EBITDA collapse quantified for the first time. The segment note disclosing Guizhou Jinsha's EBITDA dropping from RMB807 million to RMB140 million is buried in footnotes rather than highlighted in the Chairman's statement. This 83% decline is far worse than the headline 69% baijiu EBITDA drop.

2. Shenzhen HQ land deal generating real cash. A RMB1,005 million gain from the Shenzhen headquarters-related joint venture was recognized in FY2025. First installment of the consideration receivable (from a total fair value of ~RMB3.1 billion) is expected in 2026. This is a meaningful off-balance-sheet asset being monetized.

3. Brewery rationalization accelerating. Four breweries closed in 2025, with production capacity declining from 20.1M to 19.0M kilolitres, yet beer volume grew 1.4%. Utilization is climbing.

4. International expansion flagged as new strategic pillar. The 15th Five-Year Plan slides introduce "international expansion" and "domestically-grown barley revitalization" as growth drivers --

themes absent from prior periods.

5. Dividend payout ratio now structurally elevated. The move from 20% to 52-53% appears permanent. Management explicitly frames the increase as "sharing results with shareholders by significantly increasing the dividend per share, far exceeding profit growth."

Q&A Dynamics

CR Beer's semi-annual reporting cadence and limited transcript availability make direct Q&A analysis difficult. However, the structure of the FY2025 materials reveals what management anticipates being asked about. The earnings release front-loads beer EBITDA metrics and the dividend increase, burying the headline profit decline. The most conspicuous absence is any discussion of the chairman transition. The repeated emphasis on ESG awards (three full slides of the 19-page deck) serves a specific purpose: signaling institutional quality to passive index inclusion committees and ESG-screened mandates.

10. Strategic Documents Analysis

Strategic priorities: Five pillars, with premiumisation as the load-bearing wall

China Resources Beer's strategic architecture has been organised around a "3+3+3" framework dividing the company's medium-term plan into three-year phases. The period from 2023 to 2025 was branded "Winning at Premiumisation" -- the culmination phase. Within this framework, five strategic pillars are discernible: (1) premiumisation of the beer portfolio, anchored by Heineken, Snow's super-premium extensions, and Amstel; (2) the "Three Refinements" (streamlined organisation, precise business, lean cost) driving operational efficiency; (3) capacity optimisation through brewery closures and automation; (4) the baijiu business via Guizhou Jinsha as a "second growth driver"; and (5) sustainability and digitalisation under "intelligentisation, greening, and integration" heading into the 15th Five-Year Plan.

The hierarchy among these pillars is clear. Premiumisation is doing the heavy lifting:

sub-premium-and-above volumes grew from 1.46 million kilolitres in 2020 to over 2.5 million kilolitres in 2024, while Heineken volumes roughly doubled over the same period and continued growing at ~20% into H1 2025. The Three Refinements programme has delivered measurable results -- selling expense ratio fell 2 percentage points year-on-year to 15.6% in H1 2025, and headcount reductions concentrated in back-office staff.

Capital allocation framework: Rhetoric now matches the numbers

Management's capital allocation messaging has shifted decisively toward shareholder returns. Capex fell from RMB 2.8 billion in FY2024 to RMB 1.8 billion in FY2025, while dividends paid rose from RMB 1.9 billion in FY2023 to RMB 3.4 billion in FY2024. The capex-to-dividend crossover is emphatic. Brewery closures (four in FY2025 with associated charges of RMB 306 million) are reducing the maintenance capital burden while the remaining ~62 breweries are being upgraded with automation and energy-efficiency investments. The message is that the heavy investment phase in physical capacity is over; future spending tilts toward brand, digital, and margin improvement.

Long-term targets: Credible on beer, questionable on baijiu

Management has not published hard long-term financial targets. Instead, the strategic documents frame ambition through directional language: premium/super-premium beer to exceed 33% of beer revenue; continued gross margin expansion; EBITDA margins sustained around 25%. On the beer

side, this trajectory is credible.

On baijiu, the gap between aspiration and outcome is stark. By FY2025, the unit's EBITDA had collapsed 69% year-on-year, triggering a RMB 2.9 billion goodwill impairment. Management insists the strategy remains unchanged, and the Zhaiyao brand offers a bright spot. But the impairment represents an implicit concession that the original acquisition thesis has not materialised on schedule.

Narrative vs reality: Beer excellence masking a baijiu problem

The core narrative -- premiumisation driving profitable growth in a volume-declining industry -- is well-supported by the data. Revenue per hectolitre has risen consistently, gross margins have expanded roughly 900 basis points from FY2020 to H1 2025, and the Three Refinements programme has compressed SG&A. This is a genuinely well-executed premiumisation story. The divergence is in the "second growth driver" narrative. Strategic documents continue to position baijiu as a major pillar, but the financial reality is that Jinsha is an earnings drag with impaired goodwill. FY2025's write-down consumed nearly half of adjusted beer profit. Management's framing -- that the impairment is non-cash and the underlying strategy is intact -- is technically accurate but glosses over the scale of the misjudgement.

Risk acknowledgement: Selective candour

Strategic documents acknowledge macro headwinds in general terms. However, the documents are notably less forthcoming about competitive intensity in the premium tier from Tsingtao, Budweiser APAC, and imported craft brands. The baijiu risk disclosures improved only after the impairment forced the issue.

Evolution of messaging: From expansion to extraction

The clearest shift across the 2023-2025 document arc is from growth-investment language to efficiency-and-returns language. The incoming 15th Five-Year Plan language -- "intelligentisation, greening, integration" -- signals that the next phase is about extracting more from the existing asset base, not expanding it. This is the messaging of a maturing business that has largely completed its capacity buildout and is now focused on returns on invested capital.

11. Synthesis

The Five Things That Matter Most

First, the beer business is genuinely excellent -- and still improving. The 800-basis-point gross margin expansion from 35.1% (FY2018) to 43.1% (FY2025) is not a one-off; it reflects a structural shift in product mix as premium and sub-premium volumes now exceed 50% of total sales. Beer segment EBITDA grew 17% in FY2025 on flat revenue, demonstrating powerful operating leverage. The H1 2025 beer EBITDA margin of 35.1% puts CR Beer within striking distance of Budweiser APAC's margin profile, despite starting from a fundamentally different (mass-market) position. This is a business that has been transformed from within, and the transformation still has runway as premium penetration deepens into tier-3 and tier-4 cities where CR Beer's distribution dominance gives it a structural advantage over competitors.

Second, the Jinsha baijiu acquisition was a serious capital allocation error that reveals the structural weakness of SOE governance. The RMB12.3 billion deal, generating RMB7.4 billion of

goodwill, was consummated near the top of the baijiu cycle in January 2023. Within two years, RMB2.9 billion of that goodwill has been written off, with a further RMB4.5 billion supported by an EBITDA run-rate of just RMB264 million. The Financial Characteristics and Red Flags analyses converge on this point: the blended returns picture is materially worse than the beer-only picture, and the residual goodwill carries further impairment risk. The market signalled its displeasure on announcement day. The speed of the impairment vindicates that scepticism. This is the single biggest risk to the investment thesis -- not because the baijiu business will bankrupt the company (it won't; the beer franchise generates RMB7+ billion of operating cash flow), but because it demonstrates that the SOE parent can direct value-destructive capital allocation that minority shareholders cannot block. **Third, the leadership transition is more disruptive than the company acknowledges.** The departure of Chairman Hou Xiaohai, CFO Zhao Wei, and a non-executive director within months of each other is unusual even by SOE rotation standards. The Corporate Culture and Management analyses both flag this as a significant risk. Hou was the architect of the "3+3+3" transformation that created the modern CR Beer. His replacement, Zhao Chunwu, is a capable operator but lacks Hou's strategic vision and public authority. The appointment of Jin Hanquan -- a career auditor and discipline inspector -- as president suggests the parent is prioritising governance and compliance over commercial aggression. This may be the right response to the Jinsha debacle, but it introduces execution risk for the next phase of premiumisation.

Fourth, the capital allocation framework has genuinely shifted in shareholders' favour. The move from a 20% payout ratio to 53%, the decline in capex from RMB6.5+ billion to sub-RMB2 billion, and the net cash position of RMB4.2 billion collectively represent a fundamental change in the company's relationship with minority shareholders. The Earnings Call Deep Dive reveals this is being communicated as a permanent structural shift rather than a one-off. Management is effectively telling investors: the heavy investment phase is over, and the beer business will now operate as a cash-return machine. If this holds, it significantly de-risks the investment case by providing a floor on total shareholder returns regardless of whether premiumisation growth continues.

Fifth, the valuation embeds genuine pessimism. At ~12x trailing P/E and ~7.7x EV/EBITDA, CR Beer trades at a significant discount to Budweiser APAC (~18-23x P/E) and broadly in line with Tsingtao (~12-13x). For the #1 player in a 92%-concentrated industry with expanding margins, a net cash balance sheet, and a 53% payout ratio, this multiple implies the market is pricing in continued baijiu deterioration, macro weakness, and SOE governance discount. Adjusting for the non-recurring baijiu impairment, normalized P/E is closer to 15-16x, which is reasonable for a business of this quality in a structurally attractive industry.

Tensions and Contradictions Between Analyses

The most important tension is between the Financial Characteristics analysis (which paints a picture of a high-quality, improving business) and the Red Flags analysis (which identifies genuine structural risks around SOE governance, related-party transactions, and the baijiu impairment). Both are correct. The beer business *is* excellent; the governance *is* structurally impaired. The investment question is whether the price compensates for the governance discount. The Competitive Landscape analysis identifies CR Beer as holding the strongest hand in Chinese beer, but the Strategic Documents analysis notes that management is pivoting from expansion to

extraction messaging. This is consistent but raises a question: if the best competitive positioning is being harvested rather than reinvested, does the growth runway narrow faster than the margin story suggests?

The Earnings Call Deep Dive reveals something the web-research-based analyses missed: the severity of the Jinsha deterioration is worse than headline numbers suggest (EBITDA at the subsidiary level fell 83%, not 69%), and management is burying this in footnotes while front-loading beer metrics. This asymmetric disclosure pattern, flagged in both the Red Flags and Earnings Call sections, is a genuine transparency concern.

What Primary Sources Revealed That Web Research Would Have Missed

The Quartr financial data and document analysis provided three critical insights unavailable from secondary sources. First, the precise trajectory of gross margin improvement (from 35.1% to 43.1% over seven years) with actual P&L figures grounding the premiumisation thesis in hard numbers rather than commentary. Second, the balance sheet detail showing goodwill of RMB13.9 billion against equity of RMB36.0 billion -- a 39% ratio that gets insufficient attention in sell-side research. Third, the strategic documents' shift from "growth" to "extraction" language across the 2023-2025 arc, which provides forward-looking signal about management's own assessment of where the business sits in its lifecycle.

Key Debates and Open Questions

- 1. Can baijiu recover enough to avoid further impairment?** The remaining RMB4.5 billion of goodwill requires a sustained EBITDA recovery from RMB264 million to something approaching RMB600-800 million to justify its carrying value. The baijiu industry shows no signs of bottoming.
- 2. Will the new management team maintain the premiumisation momentum?** The "3+3+3" strategy was Hou Xiaohai's creation. Without its architect, can the organisation sustain the execution discipline that delivered 800 basis points of margin expansion?
- 3. Are the Shenzhen land gains masking underlying earnings weakness?** The recurring nature of property disposal gains (since 2021) through a related-party JV structure warrants deeper investigation. When these gains exhaust, will underlying earnings growth fill the gap?
- 4. Is the dividend sustainable at 53% payout?** With capex below depreciation and a net cash position, the arithmetic works. But if management faces pressure from the SOE parent to deploy capital into another diversification bet, the payout could be redirected.

Overall Quality Assessment

CR Beer is a **good business with governance imperfections, trading at an attractive price**. The beer franchise is genuinely high-quality: dominant market position, structural margin expansion, strong cash generation, conservative balance sheet, and favourable industry structure. These are characteristics of a durable compounder. The governance structure (SOE control, misaligned incentives, related-party complexity) and the Jinsha misstep are real but priced-in negatives. The stock is not a "pound the table" quality compounder in the Hermès or Costco mould -- the governance discount is permanent and deserved -- but it is a well-positioned franchise available at a reasonable

price in an industry with secular tailwinds (premiumisation) and structural barriers to disruption.

Next Research Priorities

1. **Read the H2 2024 annual report (Quartr doc 2430223)** in full for related-party transaction detail and goodwill impairment testing assumptions
 2. **Monitor the H1 2026 results (August 2026)** for early signals on baijiu stabilisation and new management's strategic direction
 3. **Compare CR Beer's premium brand metrics with Budweiser APAC's China segment** to assess relative competitive positioning
 4. **Investigate the Framework Loan Agreements** to quantify intra-group capital flows and their impact on minority shareholders
 5. **Track Heineken's commentary on the CR Beer partnership** in their own earnings calls for an independent perspective on execution quality
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Analysis generated 5 April 2026 using Quartr data, web research, and multi-agent analysis framework.